

Rating Rationale

October 15, 2025 | Mumbai

Fabtech Technologies Limited

Ratings reaffirmed at 'Crisil BBB+ / Stable / Crisil A2 '

Rating Action

Total Bank Loan Facilities Rated	Rs.100.25 Crore
Long Term Rating	Crisil BBB+/Stable (Reaffirmed)
Short Term Rating	Crisil A2 (Reaffirmed)

Note: None of the Directors on Crisil Ratings Limited's Board are members of rating committee and thus do not participate in discussion or assignment of any ratings. The Board of Directors also does not discuss any ratings at its meetings.

1 crore = 10 million

Refer to Annexure for Details of Instruments & Bank Facilities

Detailed Rationale

Crisil Ratings has reaffirmed its ratings on the bank loan facilities of Fabtech Technologies Limited (FTL; part of Fabtech Group) at 'Crisil BBB+/Stable/Crisil A2'.

Crisil Ratings has noted that FTL has successfully concluded its Initial Public Offering (IPO), raising a total of Rs. 230 crores under fresh issue. Subsequently, the company's shares were listed on the National Stock Exchange (NSE) and the Bombay Stock Exchange (BSE), effective October 7, 2025. Crisil Ratings will monitor the improvement in the business risk profile with the proceeds from the fresh issue.

The ratings continue to reflect the improved business risk marked by increased revenue and backed by extensive industry experience of management, comfortable orderbook and the focus on diversification of customer segments, which was earlier limited to few focused industries. These risks are partially offset by the improved but high working capital intensive nature of the business, limited price flexibility and susceptibility to volatility in raw material prices.

Analytical Approach

Crisil Ratings has combined the business and financial risk profiles of FTL, with its subsidiaries, FABL International Technologies LLP (FABL), FT Institutions Private Limited (FTIPL), Fabtech Technologies LLC (FTLC) and FTS Cleanrooms Systems LLC (FTSCSL). These entities, collectively referred to as the Fabtech group, operate in a similar line of business and are wholly owned subsidiaries.

Please refer Annexure - List of Entities Consolidated, which captures the list of entities considered and their analytical treatment of consolidation.

Key Rating Drivers - Strengths

Improved scale of operation backed by growing market position and extensive experience of promoters: The promoters of the company have been into the business for more than 2 decades into the industry which has resulted in a strong market position in the industry helping them with strong industry dynamics. Revenue from operation has increased from Rs 224.34 crores in fiscal 2025 against 322.47 crores in fiscal 2024 and expected continues growth into the business over medium term. However, margins in the business have reduced from 16.23% in fiscal 2024 to 12.73% in fiscal 2025. Improvement in operating margin while maintaining revenue growth remains to be seen.

Comfortable financial risk profile: Financial risk profile continues to be comfortable basis marginal long term debt and moderate usage of working capital limits over the years. Adjusted debt to adjusted network stands at 0.039 times as of March 31, 2025 against 0.09 times as of March 31, 2024. This increase is on account of usage of working capital limits during Q4FY25 and infusion of unsecured loans of Rs 19.88 crores which were repaid in Q1FY26.

Total outside liability to adjusted network has reduced from 1.18 times as on March 31, 2024, to 1.79 times in as on March 31, 2025. This is because of the addition of lease liability for the new office space opened and usage of working capital limits. This improvement in financial risk profile is because of improvement in adjusted network of Rs 55.20 crores in fiscal 2024 to 103.69 crore in fiscal 2025 and reduction in adjusted debt from Rs 8.33 crores in fiscal 2024 to 2.09 crores in fiscal 2025 and reduction in other current liabilities. The financial risk profile is expected to improve over the medium term.

Key Rating Drivers - Weaknesses

Working Capital Intensive Operations: Operations continue to remain working capital intensive in nature; debtor days are estimated to be 169 days as on March 31, 2025 against 157 days as on March 31, 2024. High debtor days is primary on account of major billing being done in Q4 and retention money held with the customer which is released within 2 years depending upon the contract. Similarly, inventory days is expected to be around 76 days as on March 2025 against 56 days as on March 2024. GCA days expected to be around 312 days as on March 2025 against 312 days as on March 2024. WC operation is expected continue on similar lines over medium term.

Limited industry exposure and client base: Company currently caters to limited industry and majorly focused towards pharmaceutical sector. This has led to the risk of limited market exposure. However, the group tries to offset this risk by continuous increase in its order book across the market and diversified client base.

Liquidity Adequate

Bank Limit utilization has remained moderate with an average utilization for the past 7 months, ended June 2025 at around 70%. Major utilization of working capital limits is against the non-fund-based limit. However, for Q4FY25 the company has used high working capital limits because of major billing during the period. Utilization for the FB limits has reduced in Q1FY26. Company has the cash and bank balance of around of Rs 35.19 crores as on March 2025 and investment in mutual funds of around Rs 6.42 crores.

Outlook Stable

Crisil Ratings believes that Fabtech group will continue to benefit from its established market position and its orderbook.

Rating sensitivity factors

Upward Factors:

- Improvement in revenue and operating profits remain upwards, leading to higher accruals above Rs 35 crore on sustained basis
- Improvement in working capital cycle mainly debtors' collection.
- Sustenance of financial risk profile

Downward Factors:

- Decline in revenue or operating profits leading to fall in accrual below Rs 20 Crore and deterioration of debt protection metrics.
- Larger-than-expected debt-funded capex or further stretch in working capital cycle results in weakening the financial risk profile

About the Company

FTL was incorporated on October 26, 2018, and is engaged in the business of providing turnkey projects solutions to pharmaceutical and allied industries by way of supplying pharmaceutical machineries/equipment, in house designing and engineering and undertaking other activities as required in various turnkey projects. Promoters have diluted around 5.39% stake in the month of Jan 2024 in FTPL.

Key Financial Indicators

As on / for the period ended March 31	Unit	2025*	2024
Operating income	Rs crore	322.47	224.34
Reported profit after tax	Rs crore	50.58	27.22
PAT margins	%	15.48	12.03
Adjusted Debt/Adjusted Net worth	Times	1.79	1.18
Interest coverage	Times	12.57	12.02

*Provisional

Any other information: Not applicable

Note on complexity levels of the rated instrument:

Crisil Ratings' complexity levels are assigned to various types of financial instruments and are included (where applicable) in the 'Annexure - Details of Instrument' in this Rating Rationale.

Crisil Ratings will disclose complexity level for all securities - including those that are yet to be placed - based on available information. The complexity level for instruments may be updated, where required, in the rating rationale published subsequent to the issuance of the instrument when details on such features are available.

For more details on the Crisil Ratings' complexity levels please visit www.crisilratings.com. Users may also call the Customer Service Helpdesk with queries on specific instruments.

Annexure - Details of Instrument(s)

ISIN	Name Of Instrument	Date Of Allotment	Coupon Rate (%)	Maturity Date	Issue Size (Rs. Crore)	Complexity Levels	Rating Outstanding with Outlook

NA	Bank Guarantee	NA	NA	NA	26.29	NA	Crisil A2
NA	Cash Credit	NA	NA	NA	4.00	NA	Crisil BBB+/Stable
NA	Cash Credit / Overdraft facility	NA	NA	NA	0.01	NA	Crisil BBB+/Stable
NA	Export Packing Credit	NA	NA	NA	26.00	NA	Crisil BBB+/Stable
NA	Proposed Long Term Bank Loan Facility	NA	NA	NA	43.95	NA	Crisil BBB+/Stable

Annexure – List of entities consolidated

Names of Entities Consolidated	Extent of Consolidation	Rationale for Consolidation
FABL International Technologies LLP	Full	Operational Linkage
FT Institutions Private Limited	Full	Operational Linkage
Fabtech Technologies LLC	Full	Operational Linkage
FTS Cleanrooms Systems LLC	Full	Operational Linkage

Annexure - Rating History for last 3 Years

	Current			2025 (History)		2024		2023		2022		Start of 2022
Instrument	Type	Outstanding Amount	Rating	Date	Rating	Date	Rating	Date	Rating	Date	Rating	Rating
Fund Based Facilities	LT	73.96	Crisil BBB+/Stable	11-09-25	Crisil BBB+/Stable	27-05-24	Crisil BBB+/Stable / Crisil A2	02-06-23	Crisil BBB+/Stable / Crisil A2	04-03-22	Crisil BBB+/Stable / Crisil A2	--
			--	12-08-25	Crisil BBB+/Stable / Crisil A2	30-04-24	Crisil BBB+/Watch Developing / Crisil A2/Watch Developing		--		--	--
			--		--	15-02-24	Crisil BBB+/Watch Developing / Crisil A2/Watch Developing		--		--	--
Non-Fund Based Facilities	ST	26.29	Crisil A2	11-09-25	Crisil A2	27-05-24	Crisil A2	02-06-23	Crisil A2	04-03-22	Crisil A2	--
			--	12-08-25	Crisil A2	30-04-24	Crisil A2/Watch Developing		--		--	--
			--		--	15-02-24	Crisil A2/Watch Developing		--		--	--

All amounts are in Rs.Cr.

Annexure - Details of Bank Lenders & Facilities

Facility	Amount (Rs.Crore)	Name of Lender	Rating
Bank Guarantee	22.75	Axis Bank Limited	Crisil A2
Bank Guarantee	3.54	RBL Bank Limited	Crisil A2
Cash Credit	4	Axis Bank Limited	Crisil BBB+/Stable
Cash Credit / Overdraft facility	0.01	RBL Bank Limited	Crisil BBB+/Stable
Export Packing Credit	16	Axis Bank Limited	Crisil BBB+/Stable
Export Packing Credit	10	IndusInd Bank Limited	Crisil BBB+/Stable
Proposed Long Term Bank Loan Facility	43.95	Not Applicable	Crisil BBB+/Stable

Criteria Details

Links to related criteria

Basics of Ratings (including default recognition, assessing information adequacy)**Criteria for consolidation****Criteria for manufacturing, trading and corporate services sector (including approach for financial ratios)**

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